

Spotify's Expansion into Podcasting

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Executive Summary:

Spotify's expansion into podcasts and shift from being solely a music streaming service to becoming a comprehensive audio platform began around 2018 and resulted in massive success for the company. As a result of the combination of vertical integration of the podcast creation process, UX choices that integrated podcasts into the Spotify ecosystem, partnerships with exclusive shows and companies, and a system for podcasters to easily host their shows, Spotify was able to generate growth and strengthen its position in the industry.

Case Background:

Spotify, one of the most known streaming platforms in contemporary society, was founded in 2006 by Swedish entrepreneurs Daniel Ek and Martin Lorentzon. Around the time of Spotify's creation, streaming services for music were not as widely available, leading to mass amounts of music piracy. However, Spotify developed a solution to this problem: "[securing] agreements with major record labels and [providing] users with legal access to a wide range of music" (Bagulho Silva, 2024, p.7). The implementation of this solution was a major success, and Spotify has since developed into one of the most successful digital streaming platforms today. Spotify would continue this strategy of innovation into 2015, where they introduced podcast features on their platform. Before this point, Apple (arguably the main competitor of Spotify) had maintained a monopoly over the digital podcast market. This monopoly can best be explained by the addition of podcasts on iTunes all the way back in 2005 and the fact that an Apple podcast app would come pre-installed on each iOS device, making it easy to access (Gupta, 2021). Apple had historically been the main source of podcasts, with analysts noting that "most podcast listeners started there, so they tend to stay there" (Gupta, 2021).

This almost unchallenged monopoly on the digital podcast streaming industry would in fact be challenged by Spotify in 2015, and reinforced two years later. 2017 is the year where Spotify begins to push into podcasting more aggressively; this can be explained by the realization that non-music content on Spotify could help the company access new revenue streams and reinforce user engagement. Spotify had noticed a German music publisher had uploaded audiobooks and other non-music content to their platform; this would allow Spotify to see the financial potential in audiobooks and spoken content, ultimately leading to Spotify's adoption of being an "audio-first" platform (Steele, 2019). Beginning in 2017, Spotify made costly investing choices regarding podcasts which would ultimately pay off and solidify Spotify as one of the best digital platforms for streaming podcasts, if not the best one.

Strategic Analysis

Spotify's eventual use of vertical integration in their 2017 push for podcasts can be used to explain why their strategy was ultimately successful. Vertical integration refers to the process of a company taking control of various stages of production down the supply chain. Through the attainment of companies and services that are responsible for various parts of the podcast creation process, Spotify essentially used vertical integration to maintain control over each part of the system and drive innovation and production.

Additionally, the Platform Canvas Framework can be applied to Spotify's podcast strategy to explain why the strategy was so successful. According to Allweins et al., a platform business "is composed of internal operations that facilitate the interaction of two (or more) participants who are both external to the boundaries of the company - typically a producer and consumer" (Allweins, Proesch, & Ladd, 2020, p. 458). Spotify acted as a platform business by creating UX features that help podcast listeners (consumers) have a more integrated experience while also providing features that allow podcast creators (producers) to host their podcasts on the

service. The features introduced by Spotify as part of their podcast strategy benefitted both the producers and the consumers of podcasts, defining Spotify as a platform where podcasts can be developed and consumed equally efficiently.

Decision and Rationale

As opposed to music, podcasts usually consist of lower licensing costs, which in turn can provide higher profit margins. With this in mind, Spotify began to push their new strategy focused on podcasts. Beginning in 2018, Spotify opened their podcast section to both users and creators alike. Through the creation of the Spotify for Podcasters program, podcasters could now upload their shows to the platform and receive “valuable data on performance, audience demographics, followers, listener locations and engagement” in return (Steele, 2019). This quickly allowed for more engagement within the podcast section of Spotify both by users and by podcast creators.

However, this would not be the only decision made by Spotify that reinforced its podcast capabilities. Later in 2019, Spotify would begin to make a series of strategic acquisitions and investments that they hoped would expand their podcasting services. In February of 2019, Spotify acquired both Gimlet Media and Anchor, two platforms that were already widely used and respected in the podcasting industry. Gimlet Media, a production company, was already well-known for producing popular shows such as *StartUp* and *The Pitch*, among others (Steele, 2019). Anchor, a distribution platform, allowed podcasters to “record, host, distribute and, mostly importantly, monetize podcasts” (Steele, 2019). Spotify’s acquisition of these platforms, a form of vertical integration, provided “[enhanced] monetisation opportunities for creators [and provided] exclusive and personalized content for users” (Bagulho Silva, 2024). Other acquisitions by Spotify would further strengthen their podcast capabilities and solidify themselves as a major player in the digital podcast streaming industry. Shortly after these acquisitions, Spotify also acquired Paracast which is a company known for its true crime content and high-volume production model. Paracast brought a steady stream of episodes and capitalized on the growing popularity of true crime podcasts, further strengthening Spotify’s content library (Steele, 2019). Through the acquisitions of these various platforms dedicated to the creation and distribution of podcasts, Spotify could now boast control over various cogs within the podcast industry machine.

The attainment of various platforms and services would not be the only strategy Spotify had when it came to bolstering their position in the podcast industry. Spotify also sought out partnerships with high-profile creators and offered to host their podcasts on the service. A notable example of this is Spotify’s eventual partnership with Higher Ground Productions, a company founded by former United States president and First Lady, Barack and Michelle Obama (Steele, 2019). Additionally, in 2020, Spotify would seek out a partnership that would eventually serve as one of the key factors related to their podcasting success. One of the most influential examples is *The Joe Rogan Experience*, hosted by popular American comedian and commentator Joe Rogan. After Spotify secured exclusive rights to the show in 2020 in a deal reportedly worth

around \$100 million, the podcast became the most popular on the platform and brought millions of listeners and viewers with it significantly boosting Spotify's user engagement and visibility in the podcast market (Schmid & Romey, 2022; Gallego, 2022). Spotify's decision to seek out a deal with Rogan's popular show further proved that Spotify was capable of accurately reading and analyzing the podcast market, making choices that have positively impacted the company's ability to maintain user acquisition and platform loyalty. Additionally, the introduction and further support of podcasts on Spotify allowed for an expansion of Spotify's advertising business through targeted ads. While podcast creators could generate revenue through advertising and sponsorships, Spotify itself could also benefit from these advertisements (Gallego, 2022).

Finally, Spotify made UX choices regarding podcasts that made this section of the platform more intuitive, personalized, and easy to use. One of these innovations was the redesign of the "Your Library" section on the application, allowing users to organize their podcasts similarly to how they might organize songs and playlists (Steele, 2019). Other UX choices, such as allowing users to add podcasts to their playlists, "gave [the users'] shows equal weight to your playlists, with tabs for episodes, downloads, and shows for easy access" (Steele, 2019). The most notable podcast feature, made specifically with first-time podcast listeners in mind, was the organization of podcasts into various topics; the user can then browse popular podcasts by topic, allowing them to dive into a podcast that meets their interests (Steele, 2019). Spotify's podcast related UX choices reinforced the newly developed section of the platform and proved to be a successful integration of podcasts with the rest of the platform.

Steel Man / Iron Fist

Spotify's vertical integration of podcast-related platforms and their strategy which pushed for partnerships with popular shows and companies would prove to be very successful. By the end of 2018, podcast listening on Spotify grew by 175% (Norfolk Chamber of Commerce, 2019). Furthermore, according to Spotify's Quarter 3 of 2019 earnings report, podcast listening grew 39% over just three months, accompanied by an increase in subscribers (Steele, 2019). Steady revenue growth experienced by the company from the years 2017 to 2021 can be supported, in part, by the strategy regarding podcasts that the company adopted (Rosman et al., 2022).

These results, among others, give explanation as to why Spotify adopted the podcast strategy that they did. However, one might argue that this strategy was costly and too much of a shot in the dark. According to an estimate, over \$1 billion was invested into podcasts by Spotify. This was a risky move, which had an ample chance of not working out and being a massive loss for the company (Khomami, 2022). Furthermore, Spotify found itself in hot water following a controversy surrounding Joe Rogan and his popular show hosted on the platform. Although the announcement of the Spotify-Rogan deal eventually generated a lot of money and user retention, with Spotify's stock price increasing by 17% in the week of the announcement, Rogan (and Spotify, by affiliation) would be heavily criticized for offensive takes and slur usage in early episodes of his show (Khomami, 2022). This criticism would later take a more physical

approach, as various musical artists which used Spotify to host their music announced that they would be pulling out of the platform, citing the controversy with Rogan (Khomami, 2022).

Although Spotify's podcast strategy did result in bouts of controversy and hefty investment fees, our group maintains the position that Spotify's strategy ultimately proved to be a mostly positive and successful one. Spotify was able to remove episodes of Rogan's show and provide users and creators alike with visible content guidelines (Khomami, 2022). Additionally, while the investment into the podcasting market was costly, podcast revenue is increasing by at least 300% per year and is expected to repay its hefty investment cost within the next few years (Dellatto, 2022). Thus, Spotify's podcast strategy, although having a brief period of controversy and debt, still proved to be the best choice the platform could have made.

Counterfactual Analysis

If Spotify had maintained their podcast strategy that they had before their major push starting in 2018, it is safe to assume that the service would not be seen as the podcast powerhouse that it is seen as today. Furthermore, if Spotify would have failed to push for podcasts more aggressively, this might have led to a competitor service seeing a gap in the market and taking advantage of it. Major competitors in the digital podcast industry, most notably Apple, could have seen this time as an opportunity to develop their own strategies to expand their podcast abilities and harness a more monopolistic grasp of digital podcasts. This would ultimately be very detrimental to Spotify's position in the podcast industry.

Lasting Impact

By acquiring podcast production companies and services, developing services for podcast creators to host their shows, seeking out partnerships with existing popular podcasts, and integrating easy to use and integrated UX features into their app, Spotify was able to easily ride the podcast wave and rake in the benefits. Through their podcast strategy, Spotify was able to position itself as one of the most notable streaming platforms on the market for podcasts. If Spotify continues their innovation into the future, it is likely that the podcasts section of their service will continue to grow and with it, user attraction and retention.

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